

5.5 Cash and cash flow	• The importance of cash to a business • The difference between cash and profit • The usefulness of cash flow forecasting to a business • Completion of cash flow forecasts	✓ providing liquidity, enables business to meet short-term debts/expenses ✓ planning tool, anticipates periods of cash shortage, enables remedies to be put in place for shortages, provides targets
-------------------------------	--	---